

**Professional Diploma in Project
Management**

Project Closure

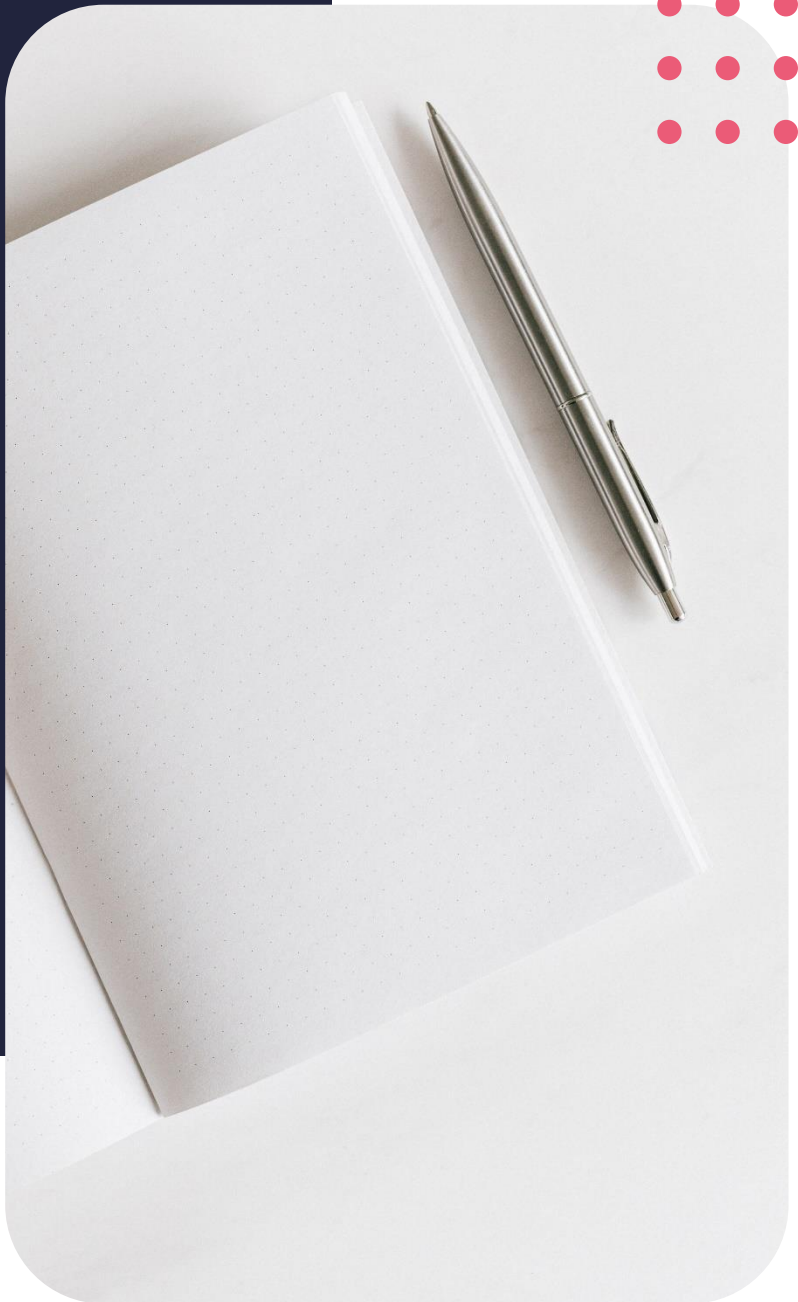
Module 1 Lesson 8

Summary Notes



Contents

3	Lesson objectives
3	Introduction
3	Seven steps of project close out
3	The ten steps of monitoring & controlling
5	Conclusion



Lesson objectives

By the end of this lesson, you should be able to:

- Explain project close out activities
- Complete a project closure report
- Describe how to conduct a lessons learned session

Introduction

In essence, planning the project closeout is just as important as the project plan and the initiation phase. It should be anticipated and planned as part of the final step in the project lifecycle.

The practise of doing a close out is to finalise all project activities, assess the project, ensure the completion and hand over the deliverables and to review any lessons learnt that could be applied in future projects of a similar nature.

It is important to note that the closeout practise may be applied at various stages of the project, not just at the end. The most obvious stage would be on deliverable completion, but it could also happen on phase completion, upon iteration completion or simply at designated times during the project's life cycle.

Seven steps of project close out

- 1 Complete and deliver all deliverables to the customer
- 2 Get formal acceptance that the project has been completed and the deliverables received from the client (we covered this in quite a bit of detail in Lesson 5)
- 3 Complete any outstanding payments with suppliers or vendors as per the steps outlined in the procurement process (you may recall that we also covered this in Lesson 5)
- 4 All the resources related to the project are released.
- 5 The final closure report is compiled.
- 6 The project is reviewed and a lessons learnt document is prepared.
- 7 All the documents relating to the project are archived correctly.

Step 1: Review of completed deliverables

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Step 2: Formal Acceptance

Client acceptance is a critical and important step in the close out process as it signifies that the customer agrees that the scope of the project and its deliverables are complete and were delivered as agreed upon by all parties.

Acceptance is based upon the success criteria defined in the initiating and planning phases of the project.

Step 3: Procurement closure

Close Procurements is the process of completing each procurement. It includes activities and interactions needed to settle and close any contract or vendor agreements established for the project.

This involves ensuring that the project vendors have finalised and delivered on all elements of their contracts. If there is any outstanding work that is going to be halted due to the project closure occurring, this needs to be clearly communicated to the vendor.

By closing off the vendor contracts, it ensures that no further costs can be incurred by the vendor against the project

Step 4: Resources released

As the project closes, your resources will become available to be disbursed to new or other projects. In addition to this, it is also important to release any project resources tied up, this may include facilities, equipment or the contingency fund.

Step 5: Draft the closure report

The Project Closure Report is the final document produced upon the completion of a project. The report details everything to do with the project is often used by the various stakeholders involved in the project to assess the success of the project. Besides the assessment of the project's success, the document is also an invaluable tool to use for identifying the best practices to ensure that all future projects go on smoothly.

The process of compiling the final closure report allows the evaluation of the following elements of the project:

- Project baseline vs Deliverable completion date
- Project Budget estimate vs Actual project budget
- Predicted risk vs Realised risks
- Predefined scope vs Scope increases (Change control)

In terms of what you should include in your closure report, here are some suggestions:

- Start with a summary statement – a general overview of what the project was about.
- Describe the results and outcomes of the project.
- Detail the project scope, project schedule and project budget.
- Provide a project performance analysis – in three parts: goals and objectives performance, success criteria performance and schedule and budget performance.
- Include highlights of the project.
- Outline the challenges faced and risks of the project.
- Write about the lessons learned during implementation.
- End with recommendations based on the lessons learned and a concluding statement.

Step 6: Lessons Learned

The lessons learned session is typically a meeting that includes:

- Project team
- Stakeholder representation including external project oversight, auditors, and/or QA
- Executive management
- Maintenance and operations staff
- Project support staff

Professional Tip:

Schedule lessons learned sessions throughout the project at significant milestones as this allows issues or improvements to be brought to management at earlier stages rather than at the end of the project when it is too late to implement.

A valuable lesson learned session will address some key questions, such as:

- Were the goals achieved, and if not, why not
- Was the customer satisfied with the end product(s)? And if not, why not?
- Was the budget met? If not, why not?
- Was the schedule met? If not, why not?
- Were risks identified and mitigated? If not, why not?

Reviewing the project methodology is probably one of the most important elements of a lessons learned session. Reflecting on this, enables the project team to review the methodology and determine if it worked and if not, what could be done to improve the process. The 3 main questions that are often posed to the team/stakeholders:

- What went well?
- What went wrong?
- Where can improvements be made?

It enables the team to identify the hurdles that impact on the project variables as well as what procedures should be implemented in the future to prevent bottlenecks and what changes would assist in speeding up future projects.

Lessons learned should be documented, presented, and openly discussed with the intent of eliminating the occurrence of avoidable issues on future projects.

Professional Tips:

A good start is to compile a questionnaire of mostly open-ended questions for the team to answer as this ensures there are no limitations to their responses.

Once you have all the data, it may be best to present it in a table and perhaps assign a RAG status to each item to help prioritise them.

Before finalizing the document, we would suggest that you circulate it among all the participants for any inaccuracies to be picked up and addressed.

You could compile a FAQ document where you detail the most relevant lessons in a location that can be easily accessed by the rest of the company.

Step 7: Archive records

The last step in the project closeout is archiving records. Even if you never access it, there's a need to keep a paper trail of the work done on any project for other people in the organisation. This might include legal teams, HR, or even your successor.

It is necessary to archive all the documents and any notes and data that could prove useful from your project. As your documents for your project are living documents and do change quite frequently over the course of the project, make sure that all are updated and finalised when starting the close out process.

When closing off documents, it is essential to ensure that they are stored in a non editable format so that they can not be altered. You never know when someone might have to go back and respond to a question or want to learn how an old issue was resolved. Consider it like putting away provisions for the winter.

Conclusion

And that brings us to the end of this introduction to Project Management. We trust you have enjoyed your time with us and look forward to you joining us for another fascinating and fun topic of interest in the near future.